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Rational Design or Accidental Evolution? The Emergence of International Investment Law

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1. Introduction

International investment law (IIL) is unlike any other sub-field of international law. Its unique features continue to puzzle observers. Two general themes recur. First, why did countries ever agree—and continue to agree—to so substantially limit their sovereign powers over foreign investors and, most strikingly, to open themselves up to direct claims in investor-state arbitration?¹ How did IIL get to the stage where Philip Morris, the tobacco giant, gets to challenge Australian tobacco legislation² or Ping An, a Chinese financial conglomerate, can attack Belgium's bank bailout,³ each investor claiming billions of US dollars before privately

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¹ See, for developing countries, Guzman, A., 'Why LDCs Sign Treaties That Hurt Them: Explaining the Popularity of Bilateral Investment Treaties' (1997–98) 38 *Va J. Int'l L.* 639, and, more recently, for developed countries, Moyers, B., *Trading Democracy*, PBS Documentary, 2002, transcript available at <http://www.pbs.org/now/transcript/transcript_tdfull.html> ('If the American people ever find out [about investor-state arbitration under NAFTA Chapter 11], they are going to be in open rebellion against this', statement by Mike Allred) and Van Harten, G., *Investment Treaty Arbitration and Public Law* (Oxford University Press, 2007) (at p. vii, criticizing IIL as a system that 'is unlike other regimes of public law in that it uses the model of private arbitration rather than that of a tenured judiciary to decide finally what legislatures, public administrations, and courts may lawfully do in the exercise of regulatory powers').

² *Philip Morris Asia Ltd (Hong Kong) v Commonwealth of Australia*, PCA Case No. 2012–12, available at: <http://www.pca-cpa.org/showpage.asp?pag_id=1494>.

³ *Ping An Life Insurance Co of China v Kingdom of Belgium*, ICSID Case No. ARB/12/29, details available at: <<https://icsid.worldbank.org/ICSID/Index.jsp>>.

appointed foreign arbitrators? Second, how does one best classify or analogize the 'hybrid' of IIL—where private investors hold rights against states and commercial-style arbitrators can apply not only international law but also domestic law and contracts⁴—and how can IIL survive in its current constellation of 2,833 bilateral investment treaties (BITs),⁵ without a controlling multilateral treaty or institution or appellate court?⁶

Attempts to answer the first question (*why did countries agree?*) have tried to explain, using mainly rational actor models, why a given capital-importing country—assumed to be a *developing* country—entered into a BIT at a given point in time, e.g. because of power disparities or coercion,⁷ to lower the cost of capital,⁸ to compete with other capital-seeking countries that previously signed a BIT,⁹ or because the country simply did not realize what it was signing up to.¹⁰ The recent rise, as of the 2000s, in BITs *between developing* countries¹¹ as well as free trade agreements (FTAs) with investment chapters *between developed* countries¹² questions these explanations.¹³ This chapter offers an alternative, richer account. It claims that IIL, as we know it today, was not rationally designed or entered into at one given point (e.g. when a country signs a BIT) but slowly emerged over time from a series of small, historically-contingent and often accidental steps, not just by treaty or BIT negotiators but also by contract drafters, international institutions and, most notably, arbitrators and litigators. Notwithstanding mounting criticism, countries keep signing BITs and FTAs—albeit with continual adaptations—partly because they perceive them to be in their interest, partly because of network effects and path dependency.

⁴ Douglas Z., 'The Hybrid Foundations of Investment Treaty Arbitration' (2004) 74 *Brit. Yb. Int'l L.* 151, at p. 236.

⁵ UNCTAD, *World Investment Report 2012*, at 84 (estimating that, by the end of 2011, the total number of international investment agreements is 3,164, including 2,833 BITs).

⁶ See Reinisch, A., 'The Proliferation of International Dispute Settlement Mechanisms: The Threat of Fragmentation vs. the Promise of a More Effective System, Some Reflections from the Perspective of Investment Arbitration' in Buffard, I., J. Crawford et al. (eds.), *International Law between Universalism and Fragmentation: Festschrift in Honour of Gerhard Hafner* (Brill, 2008), at pp. 107–26.

⁷ Sornarajah, M., *The International Law on Foreign Investment* (3rd edn, Cambridge University Press, 2010).

⁸ Sykes, A., 'Public versus Private Enforcement of International Economic Law: Standing and Remedy' (2005) 34 *J. Legal Stud.* 631.

⁹ Elkins, Z., A. Guzman and B. Simmons, 'Competing for capital: The diffusion of bilateral investment treaties, 1960–2000' (2006) 60 *Int'l Org.* 811.

¹⁰ Poulsen, L., *Sacrificing Sovereignty by Chance: Investment Treaties, Developing Countries, and Bounded Rationality* (London School of Economics and Political Science, 2011).

¹¹ UNCTAD, *World Investment Report 2011*, at 100 (20 of the 54 BITs signed in 2010 were between developing countries and/or transition economies).

¹² See the recently concluded EU–Canada FTA and ongoing FTA negotiations between the EU and the US.

¹³ Power disparities between developing countries or between developed countries disappear or are less outspoken. Legal regimes in developed countries are stable and sophisticated so it is hard to see how a BIT would significantly reduce the cost of capital or win a competition to attract foreign investment. Developed countries and many developing countries are now fully aware of the consequences of signing a BIT. Claiming ignorance is in today's context less convincing.

Attempts to answer the second question (*how does IIL operate?*) have focused on the overall system of IIL—is it more like public international law or commercial arbitration, public law or administrative agency?¹⁴—and often assume that more centralization would be better, be it through a multilateral investment treaty or world investment court.¹⁵ The resilience of the system questions the need for a controlling multilateral institution or dramatically more centralization: BITs and FTAs continue to be negotiated albeit in smaller numbers¹⁶ and with important adaptations; in 2012, the World Bank's International Centre for Settlement of Investment Disputes (ICSID), just one of several arbitral institutions, registered a record number of 50 investor-state disputes.¹⁷ More generally, this chapter claims that limited pay-off can be gained from thinking of IIL as a hybrid in search of an appropriate analogy (e.g. commercial arbitration or public international law,¹⁸ bilateral or multilateral in nature¹⁹). Instead, what defines IIL is its myriad sources and actors—treaties, custom, domestic laws and contracts; states, investors, arbitrators, international institutions, NGOs, and academics—and how they interact and have interacted over time. The appropriate unit of analysis is not the system but its interacting components. The decentralized composition of IIL and its self-organizing qualities—witness, for example, the regional convergence around substantive standards of protection²⁰ or the emerging centrality of a small group of repeat arbitrators directing the case law²¹—demonstrate that high levels of formal centralization and global control are not indispensable for a regime to emerge and thrive. The contrary may be true, as more formalized centralization can make experimentation, correction, and adaptation more difficult.²²

¹⁴ See Roberts, A., 'Clash of paradigms: actors and analogies shaping the investment treaty system' (2013) 107 *Am. J. Int'l L.* 45; Schill, S. (ed.), *International Investment Law and Comparative Public Law* (Oxford University Press, 2010); Yackee, J., 'Controlling the International Investment Law Agency' (2012) 53 *Harv. Int'l L. J.* 391.

¹⁵ See Drabek, Z., 'A Multilateral Agreement on Investment: Convincing the Sceptics', *WTO Staff Working Paper ERAD-98-0*, June 1998; Van Harten, G., 'A case for an international investment court', *Investment Treaty News*, August 2008, available at: <<http://www.iisd.org/itn/2008/08/07/commentary-a-case-for-an-international-investment-court/>>; Franck, S., 'The Legitimacy Crisis in Investment Treaty Arbitration: Privatizing Public International Law Through Inconsistent Decisions' (2005) 73 *Fordham L. Rev.* 1521 (proposing 'the creation of one independent and permanent appellate body with the authority to review awards rendered under the entire investment treaty network').

¹⁶ UNCTAD, *World Investment Report 2012*, at 84 (in 2011, 'only' 47 international investment agreements (IIAs) were signed, which is the lowest number since 1989, that is, before the spike in IIAs of the 1990s).

¹⁷ The ICSID Caseload—Statistics, Issue 2013-1, available at: <<https://icsid.worldbank.org/ICSID/FrontServlet?requestType=ICSIDDocRH&actionVal=CaseLoadStatistics>>, at p. 17.

¹⁸ Discussed in Paparinskis, Chapter 3 in this volume.

¹⁹ See Schill, Chapter 4 in this volume.

²⁰ UNCTAD, *World Investment Report 2012*, at p. 84 ('bilateral agreements still dominate international investment policymaking; however, in terms of economic significance, there has been a gradual shift towards regionalism') and, more broadly, Schill, S., *The Multilateralization of International Investment Law* (Cambridge University Press, 2009).

²¹ See Puig, S., 'Social Capital in the Arbitration Market', *Eur. J. Int'l L.* forthcoming.

²² In support: Alvarez, J., 'A BIT on Custom' (2009) 42 *N.Y.U. J. Int'l L. & Pol.* 17, at p. 80 ('The current regime, for all its flaws and risks of internal fragmentation, enables the law—of both evolving BITs and FTAs, along with the arbitral case law—to constantly adapt to the needs of all the constituencies that it affects').

This perspective should give pause to lawyers, generally critical of fragmentation and decentralization, and intuitively in search of order and formalized central authority.

The insights thus provided should also help participants in IIL to develop interventions or reforms that are more likely to be effective, *in casu* relatively small tweaks or adaptations which may have major repercussions rather than either (i) attempts at a top-to-bottom overhaul of IIL through centralized control written in stone (such as a multilateral investment treaty or world investment court)²³ or (ii) insistence on the status quo (as advocated by arbitrator-insiders such as Judge Brower²⁴ and V.V. Veeder Q.C.²⁵).

2. Three Defining Features of International Investment Law

As compared to most other sub-fields of international law, IIL has—as it currently stands—three rather unique and, at first sight, puzzling features.

2.1 Decentralized composition

First, unlike, for example, UN, WTO or EU law, IIL is *not* organized around a multilateral treaty or central international organization. Instead, IIL is heavily decentralized and composed of a multitude of bilateral, regional and multilateral treaties (BITs, NAFTA, FTAs, the ECT etc.), customary international law, domestic laws, contracts and insurance schemes, and a diversity of arbitral institutions (ICSID, UNCITRAL, PCA, ICC, SCC²⁶ etc.) and domestic courts and investment agencies, *without* central authority.²⁷

IIL is uniquely bifurcated between, on the one hand, substantive rules of investment protection and promotion set out especially in customary international law and treaties (mainly BITs) and, on the other hand, dispute settlement provisions and institutions such as ICSID and UNCITRAL. In terms of adjudication, there is no world investment court or appellate body. Foreign investment disputes are decided by a variety of ad hoc arbitration tribunals. These tribunals not infrequently contradict each other. Their awards cannot be appealed and are only

²³ See notes 6 and 15.

²⁴ Brower, C., M. Pulos and C. Rosenberg, 'So Is There Anything Really Wrong With International Arbitration as We Know It?' in Rovine, A. (ed.), *Contemporary Issues in International Arbitration and Mediation: The Fordham Papers 2012* (Martinus Nijhoff, 2013) and Brower, C., 'Keynote Address: From "Dealing in Virtue" to "Profiting from Injustice": Tending Toward the Restatification of International Investment Dispute Resolution' (2013) *Harv. Int'l. J. Online*, <<http://www.harvardilj.org/2013/03/hilj-symposium-keynote-address/>> (summary by Clayton Simmons).

²⁵ Veeder, V.V., Inaugural Charles N. Brower Lecture, American Society of International Law, 5 April 2013, summary available at <<http://69.195.124.65/-asilcabi/2013/04/07/in-inaugural-brower-lecture-johnny-veeder-sets-out-history-advantages-of-party-appointed-arbitrators/>>.

²⁶ Stockholm Chamber of Commerce.

²⁷ See Dolzer, R., and C. Schreuer, *Principles of International Investment Law* (2nd edn, Oxford University Press, 2012).

superficially reviewed by ICSID annulment committees (limited to ICSID awards) or domestic courts asked to enforce, for example, an UNCITRAL or SCC award (under e.g. the New York Convention).²⁸

Because it does not have a single focal point, IIL as a field continues to oscillate between the regimes of diplomatic protection, commercial arbitration, property law,²⁹ trade law,³⁰ conflicts of law, and even human rights,³¹ all of which are neighbouring and at times overlapping regimes with which IIL shares common roots.³²

2.2 Organic emergence

Second, unlike, for example, international labour, human rights, or criminal law, IIL did *not* emerge from major constitutional moments where states purposefully designed at least the core of the regime, as in the 1919 ILO Constitution part of the Peace Treaty of Versailles, the post-World War II Universal Declaration of Human Rights and 1966 Covenants, or the Nuremberg Trials and 1998 Statute of Rome. Instead, IIL emerged through an organic process of small increments and accidents: centuries old rules on diplomatic protection and treatment of aliens, treaties on friendship, commerce and navigation (FCN treaties) and evolving generations of BITs and FTAs, UN resolutions, ILC reports and draft articles, World Bank, OECD and IBA guidelines and codes of practice, rulings and awards by the PCIJ, ICJ, Iran-US, mixed claims, ICSID and UNCITRAL tribunals, studies and critiques by academics, NGOs, and influential organizations like UNCTAD.³³

IIL emerged through evolution, rather than revolution, partly designed by states (as in ICSID or BITs), partly constructed by arbitrators (as in the 1990 game-changing *AAPL v Sri Lanka* case, discussed in Section 3.7), partly moulded by litigators, academics and commentators (who since the late 1990s have started to talk of international or foreign investment law as a separate field³⁴),

²⁸ See Sauvant, K. (ed.), *Appeals Mechanism in International Investment Disputes* (Oxford University Press, 2008).

²⁹ See Douglas, Chapter 12 in this volume.

³⁰ See Wu, Chapter 6 in this volume.

³¹ See Kriebaum, Chapter 2 in this volume.

³² Dimascio, N., and J. Pauwelyn, 'Non-Discrimination in Trade and Investment Treaties: Worlds Apart or Two Sides of the Same Coin?' (2008) 102 *Am. J. Int'l L.* 48.

³³ See, for earlier history, Borchard, E., *The Diplomatic Protection of Citizens Abroad* (1915) and, for more recent developments, Montt, S., *State Liability in Investment Treaty Arbitration* (Hart Publishing, 2009).

³⁴ See Sacerdoti, G., 'Bilateral treaties and multilateral instruments on investment protection' (1997) 269 *Recueil des Cours* 251; Leben, C., 'La théorie du contrat d'état et l'évolution du droit international des investissements' (2003) 302 *Recueil des Cours* 197. The field is variably referred to as 'international law on foreign investment', 'foreign investment law', or 'international investment law'; see the earliest overview books: Schwarzenberger, G., *Foreign Investments and International Law* (Stevens & Sons, 1969); Sornarajah, M., *The International Law on Foreign Investment* (Cambridge University Press, 1994); Bishop, D., J. Crawford and M. Reisman, *Foreign Investment Disputes: Cases, Materials and Commentary* (Kluwer, 2005); and more recently: Dolzer, R., and C. Schreuer, *Principles of International Investment Law* (Oxford University Press, 2008), Muchlinski, P., F. Ortino, and C. Schreuer (eds.), *The Oxford Handbook of International Investment Law* (Oxford University Press,

and heavily influenced by historical events and happenstance: colonization and protection of foreign investors through gunboat diplomacy up to the early twentieth century; decolonization and a general aversion against foreign investment by developing countries in the 1950s to 1970s; Latin American debt crises of the 1980s, end of the Cold War and Washington Consensus of the 1990s, converting developing and Eastern European countries to ICSID, the ECT and a proliferation of BITs; Argentina's 2001 financial meltdown and the first major wave of investor-state disputes in the 2000s, more than 35 years after ICSID's creation in 1964.³⁵

2.3 Highly contested but dynamically stable

Third, against the prevailing view of rational design of international regimes and their optimization over time following the classical evolution-to-efficiency paradigm,³⁶ IIL is, today, more contested than ever.³⁷ Many critics have argued that IIL is out of balance or biased in favour of private investors to the detriment of national policy space or a system of inappropriate private, behind-closed-doors arbitration of what are essentially public interest disputes.³⁸ Conversely, other commentators describe IIL as an ineffective regime that insufficiently protects all but the most resourceful investors (e.g. because of the high cost of litigation or difficulty to enforce an award against a sovereign state)³⁹ or an outdated scheme that does not take account of modern, two-way investment flows as part of sophisticated global production chains.⁴⁰ Most troubling perhaps, several empirical and survey-based

2008) and Alvarez, J., *The Public International Law Regime Governing International Investment* (Martinus Nijhoff, 2011).

³⁵ See Viñuales, J., and M. Jesko Langer, 'Foreign Investment in Latin America: Between Love and Hatred' in Auroi, C., and A. Helg (eds.), *Latin America 1810–2010 Dreams and Legacies* (Imperial College Press, 2011), at pp. 319–57; Gimblett, J., and O.T. Johnson, Jr, 'From Gunboats to BITs: The Evolution of Modern International Investment Law' in Sauvart, K. (ed.), *Yearbook on International Investment Law & Policy 2010–2011* (Oxford University Press, 2011), at pp. 649–92.

³⁶ See Roe, M.J., 'Chaos and Evolution in Law and Economics' (1996) 109 *Harv. L. Rev.* 641, at p. 641 (describing the classical evolutionary paradigm as: 'What survives is presumptively efficient: if it were inefficient, the practice, the law, or the custom would be challenged by its more efficient competitors').

³⁷ See Waibel, M., et al. (eds.), *The Backlash Against Investment Arbitration* (Kluwer, 2010); Kahale, G., 'Is Investor-State Arbitration Broken?' (2012) 7 *T.D.M.*, available at: <<http://www.transnational-dispute-management.com/article.asp?key=1918>>; Corporate Europe Observatory, Profiting from Injustice: How Law Firms, Arbitrators and Financiers are Fuelling an Investment Arbitration Boom, 2012, available at: <<http://corporateeurope.org/trade/2012/11/profitting-injustice>>.

³⁸ See Van Harten (note 1).

³⁹ See Caplan, L. 'Making Investor-State Arbitration More Accessible to Small and Medium-Sized Enterprises' in Rogers, C., and R. Alford (eds.), *The Future of Investment Arbitration* (Oxford University Press, 2009), at pp. 297–311.

⁴⁰ See UNCTAD, *World Investment Report 2011: Non-Equity Modes of International Production and Development*, (United Nations, 2011), at pp. 124 et seq. and Baldwin, R., '21st Century Regionalism: Filling the gap between 21st century trade and 20th century trade rules', WTO Staff Working Paper ERSD-2011-08, May 2011, available at: <http://www.wto.org/english/res_e/reser_e/ersd201108_e.pdf>.

studies have seriously questioned whether BITs even fulfil their main stated goal of increasing FDI flows through enhanced protection of sunk investments.⁴¹

At the same time, and puzzling to many as irrational, IIL continues to reproduce and reconfirm its basic tenets, and BITs and investment chapters in FTAs continue to be concluded not only by capital exporting countries in their relations with weaker capital importing or host states (as in the period up to the 1990s), but also as between developing countries (South-South BITs) and, more recently, even as between developed countries with already sophisticated domestic protections in place for foreign investors (e.g. in the recently concluded EU-Canada FTA and ongoing EU-US FTA negotiations).

In parallel, however, and unlike the deadlock and stagnation witnessed in other regimes such as the UN, WTO, or ILO,⁴² this reproduction of IIL comes with small, genetic mutations that gradually respond to at least some of the above criticisms, be it increased transparency in recently revised ICSID and UNCITRAL arbitration rules,⁴³ more policy space, exceptions, carefully worded definitions and

⁴¹ For an overview of these studies, see UNCTAD, *The Role of International Investment Agreements in Attracting Foreign Direct Investment to Developing Countries*, U.N. Doc. UNCTAD/DIAE/IA/2009/5 (2009). Haftel, looking only at ratified BITs concluded by the US (and thus, unlike European BITs, not only covering protection of FDI stocks but also liberalizing entry or flows of FDI), finds that '[a] jointly-ratified BIT increases American foreign investment in the host country from 0.07 per cent to 0.24 per cent of GDP' (Haftel, Y., 'Ratification Counts: U.S. Investment Treaties and FDI flows into Developing Countries' (2010) 17 *Rev. Int'l Pol. Econ.* 348). To put this in perspective, this means that for a country whose GDP is equivalent to the Democratic Republic of Congo's 2011 GDP of \$15 billion, the entry into force of a US BIT (the strongest type of BIT that exists) might be expected to provide more than \$3 million in additional FDI. Yackee finds little evidence that even 'strong' BITs (i.e. those with investor-state arbitration) were correlated with FDI inflows (Yackee, J., 'Bilateral Investment Treaties, Credible Commitment, and the Rule of (International) Law: Do BITs Promote Foreign Direct Investment?' (2008) 42 *Law & Soc'y Rev.* 805, at pp. 827–8). In probably the most econometrically sophisticated study to date, Aisbett identifies a number of serious methodological challenges in earlier studies and finds that using appropriate statistical methods, significant correlations between BIT ratification and FDI inflows disappear (Aisbett, E., 'Bilateral Investment Treaties and Foreign Direct Investment: Correlation Versus Causation' in Sauvart, K., and L. Sachs (eds.), *The Effects of Treaties on Foreign Direct Investment* (Oxford University Press, 2009), at pp. 395–435). Based on a small mail survey of general counsel in large (Fortune 100) corporations, Yackee finds that few respondents viewed BITs as very important to their company's decisions to invest abroad (Yackee, J., 'Do Bilateral Investment Treaties Promote Foreign Direct Investment? Some Hints from Alternative Evidence' (2010) 51 *Va J. Int'l L.* 397).

⁴² See Pauwelyn, J., R. Wessel and J. Wouters, *The Stagnation of International Law*, Leuven Centre for Global Governance Studies, Working Paper No. 97 KU Leuven 15 (2012), available at: <https://ghum.kuleuven.be/ggs/publications/working_papers/new_series/wp91-100/wp-97-pauwelyn-wessel-wouters-revjp.pdf>.

⁴³ UNCITRAL Arbitration Rules, revised in 2010 and UNCITRAL Working Group II which in February 2013 adopted new rules on transparency in treaty-based investor-State arbitration (available at: <<http://www.uncitral.org/pdf/english/texts/arbitration/rules-on-transparency/pre-release-UNCITRAL-Rules-on-Transparency.pdf>>); ICSID Arbitration Rules, revised in 2006 (available at: <https://icsid.worldbank.org/ICSID/StaticFiles/basicdoc/CRR_English-final.pdf>). See also the PCA Arbitration Rules 2012, a new set of procedural rules for the arbitration of disputes involving at least one state, state-controlled entity, or international organization (available at: <http://www.pca-cpa.org/shownews.asp?ac=view&nws_id=347&pag_id=1261>) and the ICC Arbitration Commission Report on Arbitration Involving States and State Entities under the ICC Rules of Arbitration, 2012 (available at: <<http://www.iccwbo.org/Data/Policies/2012/ICC-Arbitration-Commission-Report-on-Arbitration-Involving-States-and-State-Entities-under-the-ICC-Rules-of-Arbitration,-2012/>>).

limits to protected investments and conditions prior to international arbitration in new or renegotiated BITs and FTAs,⁴⁴ or controversial dissents or reversals of precedent in arbitration awards.⁴⁵

In sum, IIL constitutes a major legal innovation; a regime that grants direct treaty rights to private investors against interventions by states, enforced at the international law level through investor-state arbitration, an amalgamation of state-to-state treaty rules and adjudication, and investor-state contracts, domestic laws, and commercial arbitration. As a regime controlling sovereign conduct by states it is rivalled only by international human rights law.⁴⁶ However, unlike most international law regimes, IIL lacks global control (decentralized composition), came about without major constitutional moments (organic emergence), and is generally perceived as deeply sub-optimal but continues to thrive and evolve (highly contested but dynamically stable).

3. The Multilayered, Accidental Evolution of IIL

Today, it is a common refrain that IIL is a hybrid between domestic and international, private and public law, with analogies in commercial arbitration and public international law, as well as human rights and trade law.⁴⁷ The conventional narrative assumes, however, that this hybrid is the result of rational design⁴⁸ or

⁴⁴ See, e.g., the evolving versions of the US Model BIT originally adopted in 1984 but revised in 2004 and 2012 (Vandeveld, K., 'Model Bilateral Investment Treaties: The Way Forward' (2011) 18 *Southwestern J. Int'l L.* 307); Hafel and Thompson find that to date 160 BITs have been renegotiated, a trend that began in the 1990s and gained momentum in recent years (Hafel, Y., and A. Thompson, 'When Do States Renegotiate International Agreements: The Case of Bilateral Investment Treaties', April 2013, on file with the author). See, more broadly, Spears, S., 'The Quest for Policy Space in a New Generation of International Investment Agreements' (2010) 13 *J. Int'l Econ. L.* 1037.

⁴⁵ Arbitral interpretations of MFN clauses in BITs and their application to dispute settlement provisions offer a good example. Although a clear majority of awards had previously applied MFN clauses so as to allow an investor to skip waiting periods or a requirement to submit the dispute to local courts for 18 months before resorting to international arbitration (see UNCTAD, *Most Favoured-Nation Treatment*, UNCTAD Series on International Investment Agreements II, UNCTAD/DIAE/IA/2010/1, 2011, at pp. 66–7), Arbitrator Brigitte Stern issued a 32 page dissent holding the opposite view (Concurring and Dissenting Opinion of Prof. B. Stern, *Impregilo SpA v Argentina*, ICSID Case No. ARB/07/17, 21 June 2011). At least partly with reference to this dissent, the majority in *Daimler v Argentina* (ICSID Case No. ARB/05/1, Award of 22 August 2012) refused to apply MFN to skip the 18-month period (with Arbitrator Bello Janeiro changing his position as compared to his earlier finding in *Siemens v Argentina*, which had supported application of MFN to the 18-month period). Subsequently, the majority in *Teinver v Argentina* (ICSID Case No. ARB/09/1, Decision on Jurisdiction, 21 December 2012) did once again apply MFN to overcome an 18-month period, but Arbitrator Hossain dissented on this point, quoting at length the dissent by Prof. Stern in *Impregilo* (Separate Opinion of Dr K. Hossain, 21 December 2012). For another prominent example of competing, evolving interpretations, see the necessity defence invoked by Argentina to excuse certain measures taken in the wake of its 2001 financial crisis (discussed in Sloane, R., 'On the use and abuse of necessity in the law of state responsibility' (2012) 106 *Am. J. Int'l L.* 447).

⁴⁶ See Kriebaum, U., *Eigentumschutz im Völkerrecht: Eine vergleichende Untersuchung zum internationalen Investitionsrecht sowie zum Menschenrechtsschutz* (Duncker & Humblot, 2008).

⁴⁷ See notes 4 and 14 and Paparinskis, Chapter 3 in this volume.

⁴⁸ Sykes (note 8), at pp. 631–63 (describing the differences in standing and remedies between the international trade and investment regimes as rational choices made by states at one given time);

modelled on the classical Darwinian evolution-toward-efficiency paradigm, bringing us odd life forms increasingly adapted to address the unique problems of foreign investment.⁴⁹

This chapter claims, instead, that the field as we know it today—in particular, its defining feature of standing for *private* investors to invoke *treaty* breach—is at least partly the result of historical accident; a series of discrete, small steps by both contract and treaty negotiators, international institutions, and arbitrators which, taken together, vegetated into the complex regime with which we are all familiar. From this perspective, rather than a drift toward efficiency, some of the regime's core features (e.g. commercial-style arbitration for regulatory-type treaty disputes) are pathological or at least sub-optimal.

There is no lack of historical overviews of IIL. However, most of these accounts focus on just a part of the puzzle: A particular institution (such as ICSID⁵⁰), a defined class of treaties (such as FCNs or US BITs⁵¹), one sub-set of relevant rules (such as diplomatic protection,⁵² rules on use of force or state contracts), rules without regard for arbitration decisions or vice versa or, finally, a limited time frame (e.g. starting in 1959, year of the first modern BIT). To fully grasp the coming to life and major achievements of the field we now call IIL, a diversity of institutions, treaties, customary rules, contracts, state practices, and arbitral decisions must be holistically assessed, and this assessment must be conducted over centuries (not, for example, as of 1965, date of conclusion of ICSID). Gauging the history, characteristics, and achievements of IIL by, for example, assessing just BITs, ICSID, or arbitral practice is like the men, in the old Buddhist parable,⁵³ asked to identify what animal is in a dark room, with each of them only allowed to touch a part, but only one part, of an elephant (e.g. the side, trunk, tusk etc.): as accurate as each of the men may be in the study of his particular part, unless they compare notes and communicate, it is unlikely they will agree on or discover the true nature of the animal.

3.1 The 'state of nature' or bedrock of IIL

The starting point or 'state of nature' as regards capital flows between primitive societies (in the absence of international cooperation) has two core features. First, there is a complete identification or overlap between a family, tribe, or state, on the

Koremenos, B., C. Lipson and D. Snidal, 'The Rational Design of International Institutions' (2001) 55 *Int'l Org.* 761.

⁴⁹ See Roberts (note 14), at p. 45 (comparing IIL to the Australian platypus, with a duck's bill and a beaver's body, warm-blooded like a mammal but laying eggs like a bird).

⁵⁰ Parra, A., *The History of ICSID* (Oxford University Press, 2012) and Puig, S., 'Emergence & Dynamism in International Organizations: ICSID, Investor-State Arbitration & International Investment Law' (2013) 44 *Georgetown J. Int'l L.* 531.

⁵¹ Vandevelde, K., *U.S. International Investment Agreements* (Oxford University Press, 2009).

⁵² See Lillich, R., *The Human Rights of Aliens in Contemporary International Law* (Manchester University Press, 1984) (not discussing at all the protection of foreign investors).

⁵³ See Blind men and an elephant, available at <http://en.wikipedia.org/wiki/Blind_men_and_an_elephant>.

one hand, and all of the members of this family, tribe, or state, on the other. In this context, ‘an injury to a member is an injury to his entire clan’.⁵⁴ Translated to modern times, if Greece or a Greek national harms or fails to pay a debt to an Englishman, then it harms or is in debt against the English Crown as well as all English subjects. This amounts to collective attribution of *injury* to the home or capital exporting state—here, England—and all its nationals. Conversely, where England or an English national holds a credit against Greece or a Greek national, this credit can be collected against Greece as well as any Greek national. This translates to collective attribution of *responsibility* to the host or capital importing state—here, Greece—and all its nationals.

This complete state-national overlap or clan-type communal view of ownership as well as debt is, of course, very unstable and gives a premium to power and brute force. It makes it extremely risky to cross borders. For the home state, if any of its subjects get attacked abroad, it must protect its citizens, if necessary by war. For the host state, if a foreign traveller or trader gets in harm’s way, it is responsible and may even be invaded. For the alien, being abroad one faces not just the risks of nature, robbers, and the unknown but also the risk of revenge or confiscation for a debt owed by the alien’s sovereign or any of his compatriots.

Second, in this ‘state of nature’ there are (using today’s terminology) limits on neither the territorial jurisdiction of host states nor the nationality jurisdiction of home states. Host states have complete freedom as to how they treat aliens on their territory (as Lillich notes, in Greek city-states, ‘the alien was literally a non-person’). Conversely, home states keep full control and responsibility over their nationals even when they are abroad (as in English nationals remaining subject to English law and English courts even when in China, Turkey, or Spain). This stalemate between *territorial* sovereignty (of host or capital importing states) and *nationality* sovereignty (of home or capital exporting states) is where the story of international investment law starts. It makes cross-border intercourse difficult and where it occurs, disputes are settled based on the relative power, resources, and military might of the respective states (or clans) and/or their nationals (or clan members) involved. This is the benchmark against which the current regime must be compared, more appropriately so than comparing it to a utopian state of nature where all states and their nationals are equal, and all matters get resolved neutrally using rules of law established behind a veil of ignorance.

3.2 Gradual limits on the sovereign powers of both host and home states

As a second step, let us see how this state of nature—clan-type communal view of ownership and debt; limits on neither territorial nor nationality sovereignty—was subsequently operationalized in inter-state relations. In the roughly 300 years following the creation of modern statehood—1648 Treaties of Westphalia to the

⁵⁴ Borchard, E., ‘Limitations on coercive protection’ (1927) 21 *Am. J. Int’l L.* 303, at p. 303.

creation of the UN Charter—abuses occurred on both sides.⁵⁵ Host states abused their territorial power against aliens, discriminating, expropriating, or expelling them. Home states, even more so, used their power to expand their territory, through conquest or colonialism, imposing their laws and courts for the benefit of nationals abroad (e.g. the British capitulation regime in China) and protected those nationals and their assets by use or threat of force including invasions, gunboat attacks, and blockades.⁵⁶

At the same time, throughout this period, rules emerged that limited the power of both host and home states and weakened the complete state-nationals overlap so as to enable variable degrees of private international economic intercourse albeit mostly with an eye to expanding the power and wealth of states rather than protecting the individual rights of aliens. The communal view of ownership and debt simply made cross-border intercourse, which otherwise promised huge gains to traders and their rulers, too risky and costly. If international economic exchange were to flourish, rules of the game had to be set to limit abuses and remove irritants.

Host states granted safe passage and access, establishment, or toll privileges to aliens of selected allies, as early as in the 1648 Treaties of Westphalia themselves.⁵⁷ Host states also agreed to give equal rights to aliens of certain states. Customary international law rules developed that limited the territorial sovereignty of host states to respect for certain minimum standards even where domestic law falls below those standards.

Home states, in turn, selectively agreed not to use or authorize force to protect assets or enforce debts held by their nationals abroad unless there was, for example, a denial of justice. They thereby agreed to subject their nationality jurisdiction at least to some extent to the local laws and courts of host states.

Equally important, both host and home states sought to loosen the clan-type communal approach to the relation between a state and its nationals. Home states, rather than sending military forces themselves, would issue private letters of reprisals or marquee, authorizing private individuals to confiscate foreign assets. To limit abuse of such state-sanctioned individual self-help, private reprisals were gradually replaced by the institution of diplomatic protection⁵⁸ as states were anxious to remove irritants from foreign relations and to subject such relations to increased regulation.⁵⁹ Home states, in particular the Dutch and English, also established 'joint-stock companies' with private capital but operating on the basis of

⁵⁵ See note 35 and Borchard (note 33).

⁵⁶ See Lipson, C., *Standing Guard, Protecting Foreign Capital in the Nineteenth and Twentieth Centuries* (University of California Press, 1985).

⁵⁷ Neufeld, H., *The International Protection of Private Creditors from the Treaties of Westphalia to the Congress of Vienna (1648–1815)* (A.W. Sijthoff, 1971).

⁵⁸ See ICJ, *Barcelona Traction, Light and Power Co Ltd.*, Judgment [1970] ICJ Rep. 3, at para. 37: 'Diplomatic protection deals with a very sensitive area of international relations, since the interest of a foreign State in the protection of its nationals confronts the rights of the territorial sovereign, a fact of which the general law on the subject has had to take cognizance in order to prevent abuses and friction'.

⁵⁹ Lillich, R., 'The Current Status of the Law of State Responsibility for Injuries to Aliens' in Lillich, R. (ed.), *International Law of State Responsibility for Injuries to Aliens* (University Press of Virginia, 1983), pp. 1–60, at p. 2.

royal charters or governmental approval and vested with extensive trading monopolies and privileges in their operations abroad. Though not completely delinked from the state, these companies could do their business independently enough—including defending their factories and trading posts by force—that colonial and naval wars could be waged by these companies without disturbing the general peace in Europe. Conversely, a European war would not necessarily lead to a colonial war between the companies or otherwise disturb their economic operations.⁶⁰

Host states, in turn, diffused the often politically contentious disputes over treatment of aliens by submitting them to judicial settlement by local courts. The now contentious US Alien Tort Statute of 1789 is a controversial example of this. To avoid that mistreatment of aliens, in particular, attacks on ambassadors or breaches of an alien's right of safe conduct on US territory, would draw the fledgling United States into war, the US Congress gave aliens a remedy before US federal courts 'for any civil action by an alien for a tort only, committed in violation of the law of nations or a treaty of the United States'. In addition, and as early as in the 1648 Treaties of Westphalia themselves, states also agreed to submit claims by aliens, including war claims, to special courts, commissions, or tribunals jointly appointed by both states.⁶¹ Once more, the goal was not so much to empower individuals or to protect their rights or dignity but rather to subject foreign economic relations to increased regulation and (somewhat) insulate the treatment of aliens from broader power relations to allow for more economic intercourse for the benefit (mainly) of states.

By the end of World War II, four main sources of foreign investment protection had emerged. First, customary rules on diplomatic protection and minimum treatment of aliens including rules on compensation for expropriation, the details of which remained contested especially following the Communist revolution in 1917 and Mexican expropriations in the 1930s. Second, bilateral treaties of peace, friendship, commerce, and navigation (such as the 1648 Treaties of Westphalia or the 1778 Treaty of Commerce and Amity between the United States and France) the content of which remained remarkably similar over the centuries (basically, an exchange of trade, religious, and other privileges and promises of protection of private property). Third, and often overlooked, the prohibition on use of force for the recovery of contract debts set out in the 1907 Drago-Porter Convention (which still allowed force if a state failed to agree to or implement arbitration), confirmed in the 1945 UN Charter which more broadly prohibits the use of force against other states except in self-defence or with UN approval.⁶² Fourth, a rich body of jurisprudence by mixed claims commissions and tribunals as well as the PCIJ

⁶⁰ Grewe, W.G., *The Epochs of International Law* (Translated and revised by M. Byers, 2000), at p. 303.

⁶¹ Neufeld (note 57), at pp. 14, 17, 29, 62, 69.

⁶² Though prohibiting the use of force to protect foreign assets, these UN Charter exceptions have been interpreted as allowing force to rescue or protect the lives of nationals abroad (Wingfield, T., 'Forcible Protection of Nationals Abroad' (2000) 104 *Dick. L. Rev.* 439).

(and later the ICJ) dealing with disputes arising from injury to the interests of aliens.⁶³

Equally important, however, is what *failed* to happen by the end of World War II. Since the middle of the nineteenth century separate bilateral treaties were concluded limited to trade and not covering foreign investment, such as the 1860 Cobden-Chevalier trade agreement between the United Kingdom and France and bilateral tariff agreements concluded by the United States pursuant to the 1934 Reciprocal Trade Agreements Act. After World War II this bifurcation between trade and foreign investment was confirmed by the conclusion of GATT in 1947, after the failure of the ITO that would have included albeit limited provisions on foreign investment.⁶⁴ Whereas for trade a multilateral agreement was thus established (and expanded in 1994 with the creation of the WTO), for investment all multilateral attempts (e.g. at the League of Nations and later the ITO) failed. This failure was largely carried over into today's IIL regime (with the exception of ICSID, NAFTA, the ECT and OIC⁶⁵). In the late 1990s an attempt to conclude a Multilateral Agreement on Investment (MAI) in the context of the OECD failed and so did efforts to expand the WTO's mandate to include investment protection.

3.3 Diffusion and interplay between generations of FCN treaties, domestic investment laws, and state contracts

After World War II, both in Europe and the United States, countries continued to conclude Westphalia-style treaties of friendship, commerce and navigation (FCN treaties). These confirmed customary rules on minimum standards of treatment, the obligation to compensate for expropriation and exchanged privileges of access, safe passage, navigational freedom, and freedom of religion. FCN-type treaties, which covered matters well beyond foreign investment, were concluded between developed states (e.g. Germany and the United States) as well as, later on, between developed and newly independent developing countries. As compared to the Westphalian template, these FCN treaties added remarkably little. Two core novelties could, however, be found in post-World War II US FCN treaties: explicit coverage of corporations and limits on exchange controls to facilitate repatriation of profits and capital.⁶⁶

In this period, FCN treaties with developing countries were largely inspired, not by an urge to protect individual rights of investors, but by geopolitical calculations

⁶³ See Hudson, M., *International Tribunals, Past and Future* (Brookings Institution, 1944).

⁶⁴ The ITO failed mainly because the US Senate refused ratification in the late 1940s and early 1950s. See Jackson, J., *World Trade and the Law of the GATT* (Bobbs-Merrill, 1969).

⁶⁵ Organization of Islamic Cooperation. See Ben Hamiida, W., 'A Fabulous Discovery: The Arbitration Offer under the Organization of Islamic Cooperation Agreement Related to Investment' (2013) 30 *J. Int'l Arb.* 637.

⁶⁶ Walker, H., 'Modern Treaties of Friendship, Commerce and Navigation' (1957) 42 *Minn. L. Rev.* 805; Vandevelde, K., *Bilateral Investment Treaties: History, Policy, and Interpretation* (Oxford University Press, 2010).

as part of the Cold War: capital in exchange for political support. Richard Gardner, writing in 1960, put the choice as follows:

Economic development requires capital. For the underdeveloped countries, there are three possible sources of capital: domestic, Communist, and Western. The relative emphasis which underdeveloped countries place on these alternative sources will profoundly affect their economic and political evolution and consequently our pursuit of security, prosperity, and freedom.⁶⁷

Indeed, in the 1950s most capital flowing to developing countries was governmental (foreign aid or loans). To meet development needs private funds would be required and those demanded protection.

In tandem with FCN treaties, three other mechanisms were launched. First, publicly funded insurance schemes where investors can take out insurance against non-commercial risk abroad. In case of expropriation without compensation, for example, the insurance programme (in, for example, the United States, OPIC and, later, at the international level, MIGA) will then cover losses and subrogate the home state's claims including the right to demand arbitration against the host state.⁶⁸ This construction is another example of how home states attempted to divest responsibilities away from the state and into the hands of, in this case, domestic or international insurance bureaucracies that offer protection to foreign investors that is not dependent upon the willingness of home state governments to espouse a particular claim.

A second policy flanking modern FCN treaties, especially in the United States, was domestic legislation unilaterally retaliating against host states that, for example, expropriate US investors without compensation. Such unilateral retaliation can take the form of suspending foreign assistance, blocking World Bank or IMF loans, or denying trade preferences.⁶⁹ This, in turn, is a vivid example of how home states continue to use broader power-based, political pressure at the highest governmental level to back up the protection of private investors abroad, a remnant of diplomatic protection and the ancient clan-type communal view of ownership and debt discussed in section 3.1. Most recently, the United States has used its veto power in international financial institutions such as the Inter-American Development Bank to block loans to Argentina. In 2012, the United States also suspended Argentina as a beneficiary under the US Generalized System of Preferences (GSP) invoking the non-payment by Argentina of certain ICSID awards.⁷⁰

⁶⁷ Gardner, R., 'International Measures for the Promotion and Protection of Foreign Investment' (1960) 9 *J. Pub. L.* 176, at p. 177.

⁶⁸ In some countries like Germany, the existence of a BIT is a pre-condition for granting investment insurance to the prospective investor (Meron, T., *Investment Insurance in International Law* (Oceana-Sijthoff, 1976)).

⁶⁹ See Vandevelde, K., *United States Investment Treaties, Policy and Practice* (Kluwer, 1992), at pp. 11–14.

⁷⁰ See Mercopress, 'US will vote against loans to Argentina in World Bank and IDB', 29 September 2011, available at: <<http://en.mercopress.com/2011/09/29/us-will-vote-against-loans-to-argentina-in-world-bank-and-idb>>, and Alexandrov, S., M. Palay and D. Roney, 'United States suspends Argentina's preferential trade status for failure to pay ICSID arbitral awards', 30 March 2012, available at:

A third effort to protect foreign investment abroad, besides FCN treaties, was of a more private nature. As of the 1930s, foreign direct investment as we know it today emerged especially in the mining and oil sectors. To secure these investments, private operators concluded contracts or concessions with the host state. To protect these contracts from unilateral changes by the host state, investor-state arbitration was provided for and the law applicable to the contract was stated to be not only host state law but also general principles of law or even international law.⁷¹ Investor-state arbitration pursuant to these contracts addressed the problems encountered with diplomatic protection: exhaustion of domestic remedies was no longer required and complaints were no longer subject to home state approval or control but fully in the hands of the private investor. Applying general principles of law or international law to such contracts levelled the playing field (at least partly) between foreign investor and host state, preventing the latter from unilaterally changing or terminating the contract equilibrium without any responsibility. Arbitral awards hugely assisted these efforts⁷² and accepted some form of ‘internationalization’ of state contracts by subjecting them not merely to the unilateral sovereign will of the host state but also to certain minimum standards (e.g. of compensation for termination or expropriation) expressed in general principles of law or general international law.⁷³ Crucially, however, all of these arbitrations required a contract between the private investor and the host state. Without such contract, diplomatic protection remained the only option.

3.4 First generation BITs: conservation rather than revolution

BITs are of relatively recent vintage. They emerged as model treaties in Europe in the 1960s. Today, it is tempting to consider the first BITs—such as the often referred to first BIT between Germany and Pakistan of 1959—as a major innovation or revolutionary step forward. In fact, just the opposite is true. As compared to FCN treaties, BITs narrowed the subject matter to investment only (excluding other things like trade or navigation), and limited substantive protection to basic principles most of which had been regarded as part of customary international law for some time. If anything, enacted during a period of fierce, ideological contestation at the UN following decolonization, BITs were less a push forward than an attempt, by capital exporting countries, to prevent backsliding of customary

<<http://www.lexology.com/>>. Whether this is ‘diplomatic protection’ prohibited under ICSID Art. 27 remains debated. See note 116.

⁷¹ Leben (note 34), at p. 359.

⁷² These efforts to apply general principles of law or international law to contracts were by no means obvious. The traditional PCIJ view on contracts was straightforward in its rejection of applying anything other than domestic law: ‘any contract which is not a contract between States in their capacity as subjects of international law is based on municipal law of some country.’ (PCIJ, *Serbian Loans* case 1929 BCII, series A, Nos 20, 21 & 41).

⁷³ Leben (note 34), at pp. 221–34. See also UNGA Resolution 1803 on Permanent Sovereignty over Natural Resources, at para. 8: ‘Foreign investment agreements freely entered into by or between sovereign States shall be observed in good faith’.

international law.⁷⁴ Most importantly, early European BITs, very much in line with modern FCN treaties, did *not* provide for investor-state arbitration.

It is no accident that Germany was the first European country to conclude a BIT. European BITs, to this date, remain remarkably similar to the so-called 1959 Abs-Shawcross Draft.⁷⁵ Its main author, Hermann Abs, was German, Chairman of Deutsche Bank in Frankfurt, and had first hand experience with the impact of confiscation of private German investments abroad after World Wars I and II. Although this very point was controversial, the Abs-Shawcross Draft explicitly provided that it was merely 'a restatement of principles of conduct relating to foreign investments'.

One innovation is, however, worth mentioning: the inclusion of so-called umbrella clauses whereby host states committed by treaty to comply with investor-state contracts. The precise contours of such umbrella clauses remains heavily contested today.⁷⁶ Yet, historically, the inclusion of umbrella clauses in early BITs constitutes a second important bridge between the public international law protection of foreign investment, on the one hand, and, on the other hand, protection of foreign investment under state contracts and host state law (the first such bridge was the 'internationalization' of state contracts discussed in section 3.3).⁷⁷

Like modern FCN treaties with developing countries, European BITs—of which Germany and Switzerland were major champions, both countries without colonies at that time—must be appreciated in the context of decolonization, the ongoing Cold War, and the private capital needs and opportunities in newly independent countries. Indeed, one core difference between FCN treaties and early BITs is that early BITs were *de facto* one-way streets (one country exporting capital; the other importing capital) and consistently concluded between developed and developing countries until the late 1980s when South-South BITs emerged, and mid 1990s when investment chapters were included in FTAs between developed countries. FCN treaties, in contrast, had traditionally been more symmetrical or reciprocal (both *de jure* and *de facto*) and were originally concluded amongst European or Western (developed) nations.⁷⁸

⁷⁴ See US statements to this effect when submitting BITs to Congress (Shultz, G., Letter of submittal of the US-Turkey BIT, 25 March 1986, available at: <http://tcc.export.gov/Trade_Agreements/All_Trade_Agreements/exp_005487.asp>: 'The BIT was designed to protect investment not only by treaty but also by reinforcing traditional international legal principles and practice regarding foreign direct private investment').

⁷⁵ 'The Draft International Convention for the Mutual Protection of Private Property Rights in Foreign Countries, discussed in Proposed Convention to Protect Private Foreign Investment—Introduction' (1960) 9 *J. Pub. L.* 115.

⁷⁶ See Crawford, J., 'Treaty and Contract in Investment Arbitration' (2008) 24 *Arb. Int'l* 351.

⁷⁷ Sinclair, A., 'The Origins of the Umbrella Clause in the International Law of Investment Protection' (2004) 20 *Arb. Int'l* 411.

⁷⁸ Alschner, W., 'Americanization of the BIT Universe: The Influence of Friendship, Commerce and Navigation (FCN) Treaties on Modern Investment Treaty Law' *Goettingen J. Int'l L.* forthcoming, available at: <http://papers.ssrn.com/sol3/papers.cfm?abstract_id=2309467>.

3.5 ICSID as an ideologically neutral and flexible, opt-in model

Whereas the role of early BITs is often exaggerated, it is difficult to overestimate the impact of ICSID. Yet, when originally introduced, ICSID was portrayed and sold to countries as a minimalist project that avoids any of the substantive, ideological discussions that were then raging at the UN, and merely provides institutional scaffolding for the settlement of investor-state disputes, use of which is, in any event, purely optional.⁷⁹ Beneath the surface, however, ICSID introduced what would turn out to be two major developments. First, ICSID accelerated the trend of mixing and combining investment contracts, host state law, and international law as sources of what is now commonly referred to as the 'hybrid' of international investment law (a process initiated earlier with the 'internationalization' of state contracts and so-called umbrella clauses in BITs). Second, ICSID confirmed the model of commercial-style arbitration for the settlement of investor-state disputes (party-appointed arbitrators, confidential proceedings, quick and final decisions without appeal, focus on money damages rather than compliance), thereby embedding the system with the competing analogies of private commercial arbitration and public international law.

The promise of ICSID was superficially simple. Instead of settling foreign investment disputes before often biased and unsophisticated domestic courts in (developing) host states, or leaving these disputes at the mercy of power relations biased in favour of historically violent and unilateralist (developed) home states, give parties the option to mutually agree to settle their investment dispute before a specialized, rules-based and depoliticized tribunal, linked to the World Bank, that promptly and efficiently issues final rulings which can be enforced, by host states and foreign investors alike, 'as if it were a final judgment of a court'⁸⁰ in any ICSID party.

As pointed out earlier, mixed commissions or tribunals have settled disputes arising from injuries to aliens for centuries, be it in state-to-state or alien/investor-state proceedings.⁸¹ Moreover, since the 1930s such investor-state arbitrations increasingly applied not just host state law but also general principles of law or international law. In this historical light, investor-state arbitration before ICSID was nothing new or revolutionary.

Moreover, to the extent that private standing before an international tribunal were still seen as a major inroad in the sovereignty of host states, ICSID offered no less than five layers of flexibility, confirming the optional and reciprocal nature of the system:

- (i) ICSID as such includes no consent to arbitrate with private investors; host states will only be bound to international arbitration if and to the extent they consent to arbitration in a separate document such as a specific investment contract (Article 25.1);

⁷⁹ See Parra (note 50) and Puig (note 50).

⁸⁰ Art. 54.1.

⁸¹ See Parra (note 50), at p. 15 and Hudson (note 63).

- (ii) host states can carve out any type of dispute that they do *not* want to submit to ICSID or do not accept as 'arbitrable' pursuant to ICSID's commercial-style investor-state arbitration rules (Article 25.4⁸²);
- (iii) not only investors but also host states can file disputes and benefit from ICSID to more easily enforce money awards against the assets of foreign investors in any ICSID party (Article 36.1);
- (iv) ICSID parties can specify that they only agree to ICSID arbitration *after* local remedies before domestic, host state courts have been exhausted (Article 26);
- (v) the parties to an investment dispute are free to select the law applicable to the investor-state dispute and where no such selection is made the default rule is application of *host state law* ('and such rules of international law as may be applicable') (Article 42).

There is no doubt that the typical dispute ICSID drafters had in mind was a contract or concession dispute between a foreign investor and a host state or an investment dispute that the parties specifically agreed *ex post* to submit to arbitration by *compromis*, that is, a standard dispute addressed in commercial-style arbitration or historically dealt with by mixed claims tribunals following war or major upheaval.⁸³ To the extent that sovereign conduct would be covered (such as expropriation and a dispute over the amount of compensation owed), the above flexibilities would take care of any sovereignty concerns: the host state must first consent to arbitration, it can carve out types of disputes it considers too sensitive, it can require prior exhaustion of domestic remedies, and select application of domestic, host state law.

Moreover, in return for any limits on host state sovereignty, ICSID includes a fundamental *quid pro quo* in favour of host states. Once mutual consent is given to submit a dispute or certain disputes to ICSID arbitration, the home state loses its right to exercise diplomatic protection⁸⁴ and the dispute moves from inter-state power-based relations to the realm of rules-based ICSID settlement, unless and until the host state fails to comply with an ICSID award (Article 27).⁸⁵

⁸² See Shihata, I., 'Toward a greater depoliticization of investment disputes: The roles of ICSID and MIGA' (1986) 1 *ICSID Rev.* 1, at p. 5 ('Saudi Arabia has indicated that it intends to exclude investment disputes relating to "oil and pertaining to acts of sovereignty"').

⁸³ See Lowenfeld, A., 'The ICSID Convention: Origins and Transformation' (2009–2010) 38 *Ga. J. Int'l & Comp. L.* 47, at p. 55.

⁸⁴ This prohibition on diplomatic protection does, however, not cover 'informal diplomatic exchanges for the sole purpose of facilitating a settlement of the dispute' (see Art. 27, para. 2) which are not further defined.

⁸⁵ See Parra (note 50), at p. 51, referring to Art. 27 as '[a]n example of an article that seems to have been entirely their [Broches and colleagues] own invention'. See also Shihata (note 82) and Broches, when introducing the draft ICSID Convention, stating that it 'would insulate [investment] disputes from the realm of politics and diplomacy' (History of the ICSID Convention: Documents Concerning the Origin and Formulation of the Convention on the Settlement of Investment Disputes, 1970, at pp. 241–3 (Addis Ababa), 303–5 (Santiago), 369–73 (Geneva), 464–5 (Bangkok)).

This sounds like a no-risk, pragmatic solution, allowing countries to ratify ICSID—and with it gain some good-citizen credibility and limits on home state unilateralism—without any intention at all ever to litigate a dispute before ICSID. That is also how Aron Broches, the main drafter of ICSID and its first secretary general, promoted the Convention.⁸⁶ The low-key, technical nature of ICSID as an opt-in institutional framework for mainly contract disputes was confirmed in how it was negotiated: no fancy, international diplomatic conference but four regional rounds of consultations with legal experts only, followed by adoption by the World Bank's executive directors.

3.6 Breeding ICSID with second generation BITs: the emergence of IIL

Of course, this is not where the story ends. The subsequent combination of three relatively independent factors, over an extended period of time—between 1966, entry into force of ICSID, and 1990, first ICSID award allowing a private investor to invoke treaty breach—fundamentally transformed rules on foreign investment protection and led to the emergence of IIL as we know it today. This triple combination consisted of, first, a growing ICSID membership *without* reservations or special declarations⁸⁷ including, since the late 1980s in the wake of the Latin American debt crisis, most Latin American countries, in desperate need of foreign capital. Second, a proliferation of second generation BITs and investment chapters in FTAs where host states, including Eastern European, African, Asian, and Latin American countries, consented to investor-state arbitration under ICSID, especially during the 1990s Washington consensus years and after the fall of the Soviet Union which increased the bargaining power of the United States and Europe vis-à-vis the developing world in international economic negotiations.⁸⁸ Third, and crucially, a number of arbitral decisions confirming the application (and superiority) of international law in investor-state relations,⁸⁹ as well as the right of private investors to directly invoke breach not only of contract but also of (BIT) treaty provisions.

⁸⁶ See also Woods, Chair, Meeting of the Committee of the Whole, 23 July 1964, reprinted in History of the ICSID Convention (note 85), at p. 589, para. 41: all ICSID would do 'was to create a house; the door of the house would be open and governments would be free to enter . . . with respect to a given controversy'.

⁸⁷ Under Arts 25 or 26 on, respectively, precluded disputes and exhaustion of domestic remedies.

⁸⁸ See Steinberg, R., 'In the Shadow of Law or Power? Consensus-Based Bargaining and Outcomes in the GATT/WTO' (2002) 56 *Int'l Org.* 339, at pp. 358–60.

⁸⁹ Although the text of Art. 42 leaves some doubt—in the absence of party agreement, host state law 'and such rules of international law as may be applicable' shall apply—'there exists a quasi-unanimous understanding according to which, in the absence of a choice of law by the parties, the role of international law is limited to supplementing the law of the host State where it contains lacunae or to *correcting it where it is inconsistent with international law*' (Gaillard, E., and Y. Banifatemi, 'The Meaning of "and" in Article 42(1), Second Sentence, of the Washington Convention: The Role of International Law in the ICSID Choice of Law Process' (2003) 18 *ICSID Rev.* 375, at p. 381, italics added). Starting with *Klöckner v Cameroon*, Ad Hoc Committee Decision, 3 May 1985 (1994) 2 ICSID Rep. 95, at p. 122. The 'corrective role' of international law means, in essence, that where host state law contradicts international law, the latter prevails.

This triple combination neutralized each of the five ICSID flexibilities summarized in section 3.5: (i) broad-based, *ex ante* consent to investor-state arbitration in BITs, (ii) no or very limited arbitrability carve-outs to such consent in either BITs or Article 25 declarations to ICSID, (iii) a practical impossibility for host states to file disputes against investors given that host states have unilaterally consented to arbitration in BITs but investors can only be sued if they give contract or case-specific consent, (iv) in the absence of declarations under Article 26⁹⁰ or limits in BITs, ICSID arbitration is mostly ‘to the exclusion of any other remedy’ at least for treaty breaches, and without having to exhaust domestic remedies, (v) with international law superior (or ‘correcting’⁹¹) host state law in cases where no explicit choice of law was made, for host state law alone to apply there must be an investor-state contract which explicitly provides to this effect; in the absence of such choice of law clause or in cases where there is no contract in the first place (now the majority of ICSID cases), international law prevails.

The first BIT—rather than contract or domestic investment statute—granting compulsory jurisdiction to ICSID for investor-state disputes was the 1968 Netherlands-Indonesia BIT.⁹² That Aron Broches was a former Dutch diplomat may have something to do with this, the same way that Hermann Abs was German and the very first BIT (albeit without investor-state dispute settlement) was concluded in 1959 between Germany and Pakistan. However, not until 1987 did the majority of BITs include investor-state arbitration.⁹³ More importantly, not until 1990 did countries genuinely realize the full extent of such second generation BITs. The existence and flexible, contract nature of ICSID facilitated agreeing to ICSID jurisdiction in BITs. The ICSID Secretariat, World Bank more broadly, and other UN bodies such as UNCTAD,⁹⁴ all promoted the conclusion of second generation BITs. Emerging from their 1980s debt crisis, even Latin American countries signed on to ICSID and later, in the early 1990s, when the entire world seemed to have joined the Washington consensus, all countries prolifically signed BITs with investor-state provisions.⁹⁵ Yet, very few disputes arose under ICSID: only 25 in its first 25 years, and until 1990 all of them were based on a

⁹⁰ Shihata (note 82), at p. 11: ‘among the 91 Signatory States, only one (Israel) has made such a declaration’, requiring exhaustion of domestic remedies.

⁹¹ See note 89.

⁹² In the negotiating history of ICSID, no mention was made of BITs providing consent to ICSID arbitration. The idea was first put forward after the conclusion of ICSID, by Broches, at the First Annual Meeting of the ICSID Administrative Council, in September 1967, at para. 11: BITs ‘frequently provide for the settlement of disputes through intergovernmental arbitration’ but ‘[n]ow that the facilities provided by the [ICSID] Convention were available it might be advisable to substitute these procedures, at least on an optional basis, for those provided in these [BIT] treaties’ (Parra (note 50), at p. 114).

⁹³ See Montt (note 33), at p. 65.

⁹⁴ In several meetings in the late 1990s and early 2000s, UNCTAD gathered developing countries to promote and have those countries sign several dozen BITs, see UNCTAD, *Bilateral Investment Treaties 1959–1999*, UN Doc. UNCTAD/ITE/IIA/2, 2000, at pp. 2–3.

⁹⁵ Many developing countries and economies in transition also signed BITs to lock in domestic reforms, see Echandi, R., ‘What Do Developing Countries Expect from the International Investment Regime’ in Alvarez, J., et al. (eds.), *The Evolving International Investment Regime* (Oxford University Press, 2011), at p. 11.

contract or concession between the state and the foreign investor. Only in 1990 did an ICSID tribunal in *AAPL v Sri Lanka*⁹⁶ accept the first complaint by a private foreign investor based on Sri Lanka's consent in a UK-Sri Lanka BIT without there being a contract between the parties, that is, standing for a *private* investor to invoke *treaty* breach.⁹⁷

3.7 The silent revolution of *AAPL v Sri Lanka*

It is easy to overlook how revolutionary the *AAPL v Sri Lanka* award was, on no less than three counts.

First, there is the novelty of bifurcated consent to arbitration. In the BIT, Sri Lanka agreed, no doubt, to ICSID jurisdiction over 'any legal disputes arising between [Sri Lanka]... and a national or company [of the UK] concerning an investment of the latter in the territory of the former'. Although it is a bit of a stretch, a private investor can be said to 'perfect' this (*ex ante*) Sri Lankan offer to arbitrate any such disputes, by filing a notice or request for arbitration expressing the investor's (*ex post*) consent to arbitrate a particular case.⁹⁸ The arbitration agreement consists then, not of a standard contract, but of an *ex ante*, standing offer by Sri Lanka in the BIT and an acceptance of this offer, albeit much later, in the notice of arbitration.

This is how, today, 74 per cent of ICSID disputes are filed and decided (i.e., pursuant to a treaty rather than an investment contract or statute).⁹⁹ However, in 1990, at a time when the majority of BITs already included investor-state arbitration, this was far from evident and remained unprecedented.¹⁰⁰ When the ICSID Convention was drafted, this possibility was not even addressed.¹⁰¹

Second, in addition to this new, bifurcated approach to arbitration consent, there was the matter of whether investors could directly invoke BIT rights, a matter that is, today, self-evident, but which was, as recently as 1990, unheard of.

⁹⁶ *Asian Agricultural Products Ltd (AAPL) v Republic of Sri Lanka*, ICSID Case No. ARB/87/3, Final Award, 27 June 1990.

⁹⁷ See Paulsson, J., 'Arbitration Without Privity' (1995) 10 *ICSID Rev.* 232.

⁹⁸ Such consent pieced together from two distinct instruments was foreseen, see Report of the Executive Directors: 'Consent may be given, for example, in a clause included in an investment agreement, providing for the submission to the Centre of future disputes arising out of that agreement, or in a compromise regarding a dispute which has already arisen. Nor does the Convention require that the consent of both parties be expressed in a single instrument. Thus, a host State might in its investment promotion legislation offer to submit disputes arising out of certain classes of investments to the jurisdiction of the Centre, and the investor might give his consent by accepting the offer in writing' (Report of the Executive Directors on the Convention on the Settlement of Investment Disputes between States and Nationals of Other States (18 March 1965), reprinted in ICSID Convention: Regulations and Rules 43 (2006)). However, even there no reference was made to consent by treaty subsequently 'perfected' by the investor filing an ICSID case.

⁹⁹ See ICSID Caseload—Statistics (note 17).

¹⁰⁰ See the *AAPL v Sri Lanka* Final Award (note 96), at para. 18: 'The present case is the first instance in which the Centre [ICSID] has been seized by an arbitration request exclusively based on a treaty provision and not in implementation of a freely negotiated arbitration agreement directly concluded between the Parties among whom the dispute has arisen'.

¹⁰¹ See Lowenfeld (note 83), at p. 56.

Nowhere does the UK-Sri Lanka BIT explicitly state that a UK investor can directly rely on and claim BIT treaty breaches. A plausible, alternative reading could have been that in the BIT, Sri Lanka agreed to ICSID jurisdiction but only for claims by private investors based on individual contracts or, possibly, host state law. That investors can bring their disputes to either host state courts *or* ICSID arbitration, after which their choice is final, confirms that what BIT parties probably had in mind was contract/host state law disputes, not disputes over treaty breach. First, in many countries, especially so-called dualist countries like the United Kingdom, such treaty breaches *cannot* be filed before domestic courts. If treaty claims cannot be filed before domestic courts in the first place, how does one make sense of the fork-in-the-road choice between host state courts and ICSID? Second, traditionally, treaty claims can only be pursued before an international tribunal *after* domestic remedies have been exhausted, not as an alternative, or instead of, going to domestic courts. For treaty claims (and unlike contract claims), this makes a fork-in-the-road choice between domestic courts and international arbitration as equal alternatives at least suspect.

Third, there is the issue of which law to apply in a dispute between a private investor such as *AAPL* and a sovereign host state such as Sri Lanka. ICSID Article 42 provides that the law applicable to a dispute shall be the law agreed to by the parties and, in the absence of such agreement—as, one could argue, is the case when an investor simply accepts a standing BIT offer to arbitrate—it shall be host state law. Nonetheless, ever since *AAPL v Sri Lanka*, the core of the applicable law was determined to be not host state (Sri Lankan) law, but international (BIT) law.

In sum, for a private investor to invoke treaty breach, the way it is now standard, there must not only be (i) consent to arbitration (albeit in two, somewhat remote steps, as discussed above), but also (ii) the BIT must be specific and direct enough to provide individual rights to investors (something to be deduced from the BIT itself) and (iii) the parties must be found to have agreed to apply the BIT as the law applicable to the dispute (*AAPL* can do so in its notice of arbitration, but Sri Lanka must be found to have done so in the BIT itself or during the proceedings). The majority in *AAPL v Sri Lanka* jumped over all three hurdles without much hesitation. Much of this had to do with the fact that Sri Lanka did not even contest its consent to arbitration in the case. What was contested, however, was whether the parties had actually agreed that the BIT would be the applicable law in this investor-state dispute. The majority answered this question in the affirmative.¹⁰² An interesting, but largely forgotten dissent saw things differently:

In the present case . . . the claimants are not, and could not be, a party to the S.L./U.K. pact. Therefore, to invoke the provisions of this treaty as the applicable law, they would have to

¹⁰² *AAPL v Sri Lanka* Final Award (note 96), at para. 20: 'Effectively, in the present case, both Parties acted in a manner that demonstrates their mutual agreement to consider the provisions of the Sri Lanka/U.K. Bilateral Investment Treaty as being the primary source of the applicable legal rules'. For Sri Lanka, this agreement to apply the BIT in its relation with *AAPL* was derived from the fact that Sri Lanka (i) based its main arguments on the BIT and (ii) invoked Art. 157 of the Constitution of Sri Lanka 'emphasizing that the Treaty became applicable as part of the Sri Lankan Law'.

demonstrate either that the treaty itself authorized this course of action or that the parties to the dispute expressly agree to regard the provisions of the Treaty as the applicable law . . . the better view is that there was no real agreement between the parties as to the rules of law which should govern this dispute. Accordingly, the second sentence of Article 42(1) of the ICSID Convention should prevail and the majority erred in not applying Sri Lankan law as the main source of law . . .¹⁰³

The point here is not that *AAPL v Sri Lanka* was wrongly decided. Only that there was room for reasonable disagreement and that the majority went one way and thereby took a crucial step in the direction of broader standing rights for private investors and, ultimately, the emergence of IIL as we know it today.

3.8 Breeding US FCN treaties and second generation European BITs: investor-state arbitration becomes mainstream

It was only in 1982, almost 15 years after the first European BIT, that the United States shifted policy from FCN treaties (*without* investor-state arbitration) to BITs.¹⁰⁴ Unlike Europe, the United States did not first engage in first generation BITs but immediately opted for second generation BITs *with* investor-state arbitration.

The first US BIT was ratified by the US Congress only in 1988. The United States shifted from FCN to BIT treaties mainly because obtaining agreement to its more comprehensive FCN treaty model had become all but impossible (the last US FCN treaty was concluded in 1966). Yet, to stop customary rules on, in particular, compensation for expropriation from backsliding, the United States needed a treaty instrument to re-confirm and, if possible, expand its views on foreign investment protection. The ideal candidate was found to be the by then very successful (in terms of number of treaties concluded) European BIT model of the second generation (including investor-state arbitration). The United States complemented it with a number of features from its FCN programme, in particular establishment or access provisions (based on a negative list model) and provisions facilitating transfer of capital and profits. It also added some novel features such as a prohibition on performance requirements.

Of considerable note, unlike European BITs, the US BIT explicitly provided for investor-state arbitration not just for breach of contract but also for breach of the BIT itself. Article VII:1 of the 1982 US-Egypt BIT, for example, explicitly defines 'a legal investment dispute' between a party and a national or company of the other party as 'a dispute involving (i) the interpretation or application of an investment agreement between a Party and a national or company of the other Party [i.e. an investor-state contract or concession]; or (ii) *an alleged breach of any right conferred or created by this Treaty with respect to an investment*'.¹⁰⁵ In so doing, the BIT also clarified beyond doubt that BIT obligations are directly enforceable by private

¹⁰³ Samuel Asante, Dissenting Opinion, *AAPL v Sri Lanka*, ICSID/ARB/87/3 (1991) 6 *ICSID Rev.* 574, at pp. 576–7.

¹⁰⁴ See Vandevelde (note 69).

¹⁰⁵ Emphasis added.

investors. In other words, what European BITs had left open—do private investors have standing to directly invoke treaty breach?—US BITs confirmed explicitly. This explicit confirmation in US BITs (pre-*AAPL*) may, indeed, have contributed to the majority's finding in *AAPL*.¹⁰⁶

Whatever the situation, it was only in 1990 that the defining feature of IIL—private standing to invoke treaty breach—materialized. Rather than the result of a deliberate treaty negotiation—such as the 1994 WTO treaty consenting to compulsory jurisdiction for all state-to-state disputes under all covered WTO agreements—it was the result of incremental developments in distinct treaty contexts—first, ICSID, then second generation European BITs and, finally, US BITs—the crux of which was only definitively established through arbitral awards many years later. A lot has been written about how developing countries tumbled into BITs, with limited knowledge of their content and impact.¹⁰⁷ The same arguments of bounded rationality, path dependency and social diffusion of BITs without full cost-benefit assessment can, however, be made in respect of most developed countries. They as well could only have figured out the full extent of their BIT commitments in 1990 (assuming they all read the *AAPL* award), that is, years after the spread of second-generation BITs started.

Following *AAPL*, arbitral awards in the 1990s and 2000s took private standing for treaty breaches to its logical next steps. First, although allegations of treaty breach by definition raise questions over sovereign acts which under many domestic arbitration laws would be non-arbitrable, under ICSID, few countries had made reservations of non-arbitrability under ICSID Article 26. This meant that what would probably not be arbitrable under domestic commercial arbitration rules, was now arbitrable under international (ICSID) arbitration. Second, given that tribunals were now addressing treaty (not contract) breaches, so-called Calvo Clauses in investor-state contracts or concessions, which reserved disputes to the exclusive jurisdiction of local courts, were neutralized. Surely, where a Calvo Clause was included, purely contractual disputes remained subject to the exclusive jurisdiction of host state courts. However, treaty disputes were different, not subject to such Calvo Clauses, and could be brought to ICSID arbitration. What is more, since few countries had required exhaustion of domestic remedies under ICSID Article 26 when ratifying ICSID, private investors could submit such treaty claims even without prior exhaustion of domestic remedies (unless the relevant BIT required otherwise¹⁰⁸). Third, whereas for contract claims, only the host state authority that actually signed the contract could be held liable, for treaty claims, the host state can be held responsible for wrongful conduct by any governmental authority including conduct by provincial or communal authorities as well as domestic courts or statutes enacted by parliament. As no contract or concession is required, and

¹⁰⁶ Asante (note 103), however, saw this language in US BITs as a counter example where parties did agree to apply a BIT in investor-state relations and as evidence that the UK-Sri Lanka BIT did not have this feature.

¹⁰⁷ See Poulsen (note 10).

¹⁰⁸ And even if it did, MFN has repeatedly been found to neutralize, for example, a requirement to submit disputes for 18 months to local courts prior to filing ICSID arbitration. See note 45.

investors can directly invoke treaty breach, any wrongful conduct attributable to the host state can now be challenged. This is a massive extension of foreign investment protection without the need for diplomatic protection.

One other arbitral precedent stands out: Foreign shareholders who invested in a host state corporation were allowed to claim damages not only for injury to their rights as shareholders (e.g. voting rights or right to dividends) but also for damages suffered by the local company itself (e.g. compensation for expropriation).¹⁰⁹ This pierced the corporate veil between a company and its shareholders which in most domestic legal systems (as well as under the rules of diplomatic protection¹¹⁰) prevents a shareholder (or its state of nationality) from directly invoking the rights of the company in which it holds shares. BITs thereby offer direct redress to shareholders against the host state for damages caused to the company they invested in, without having to go through the company.

4. Explanatory Force of the Revisionist Account

4.1 Incremental evolution rather than rational design

The series of discrete, individually small steps (set out in Section 3) by both contract and treaty negotiators, arbitrators, litigators and international institutions taken together is what led to the defining feature of IIL as we know it today, and gives rise to what is now the majority of foreign investment disputes: direct claims by private investors (including shareholders) for breach by host states of a BIT or FTA without a contract between the foreign investor and the state (arbitration without privity). The revolutionary aspect of IIL is the result of what is best described as accidental evolution. Professor Lowenfeld—himself on the US delegation that negotiated the ICSID Convention in the early 1960s—put it as follows:

None of the discussion at the consultative meetings [in preparation of the ICSID Convention], or so far as I know in the contemporary writing and legislative consideration, addressed the possibility that a host state in a bilateral treaty could give its consent to arbitrate with investors from the other state without reference to a particular investment agreement or dispute. I know that I did not mention that possibility in my testimony before the U.S. Congress, and neither did anyone else. Nor, except in a very subtle hint, was the suggestion made in the Report of the Executive Directors of the Bank submitted to governments with a view to ratification of the Convention. *Yet consent by states pursuant to the Bilateral Investment Treaties (BITs) has become the standard practice.*¹¹¹

¹⁰⁹ See Bottini, G., 'Indirect Claims under the ICSID Convention' (2008) 29 *U. Pa. J. Int'l L.* 563.

¹¹⁰ See ILC Draft Articles on Diplomatic Protection, 2006, available at: <http://legal.un.org/ilc/texts/instruments/english/draft%20articles/9_8_2006.pdf>, Arts 11 and 12 (but see the exceptions in Art. 11(a) and (b)).

¹¹¹ Lowenfeld (note 83), at p. 56, italics added. The Report of the Executive Directors, quoted at note 98 (paras. 23–24) refers to consent expressed *ex ante* in a specific 'investment agreement' (i.e. a contract, not to be confused with an investment treaty) or *ex post* in a *compromis* regarding a dispute that has already arisen. It also states that consent must not be 'expressed in a single instrument',

It is often claimed that private standing to make claims against a state before an international tribunal is nothing dramatically new.¹¹² As noted earlier,¹¹³ mixed claims or reparations tribunals have existed for centuries. However, in those cases—from the 1794 Jay Treaty to the Iran-US Claims Tribunal—states only consented to private standing in respect of past, strictly circumscribed events in the aftermath of war or revolution and even in those cases ‘the [private] claimant has been subject to control by the agent of his State’.¹¹⁴ Under present day IIL, private standing is granted directly to individual investors (i) *prospectively*, for events that may happen, or laws or regulations that may be enacted, in the future, and (ii) pursuant to *generalized* or *comprehensive* subject-matter jurisdiction, i.e., in respect of any BIT breach attributable to the host country, by whatever level of government.¹¹⁵

4.2 More symmetrical than traditionally assumed

At the same time also, the *quid pro quo* for these broader investor rights fully emerged. First, as soon as consent is given to arbitrate a dispute at ICSID (in a contract, as soon as the contract is concluded; under a BIT, only once the investor consents to arbitration in its notice of arbitration) the home state can no longer exercise diplomatic protection.¹¹⁶ This, at least partly, neutralizes power imbalances that traditionally have played out in favour of home states. Second, the prohibition on diplomatic protection runs all the way up to the enforcement of an ICSID award and ends only when a state has ‘failed to abide by and comply with the award’.¹¹⁷ ICSID annulment proceedings replace review of arbitral awards by domestic courts (as remains the case for e.g. UNCITRAL or SCC awards pursuant to the New York Convention).

Sure enough, host states made commitments that limit their territorial sovereignty. Equally important though, home states made commitments that limit their

referring to consent in a host state investment law which an investor may perfect later on by accepting the offer to arbitrate in writing. Yet, nowhere is consent through treaty referred to.

¹¹² See Legum, B., ‘The Innovation of Investor-State Arbitration under NAFTA’ (2002) 43 *Harv. Int’l L.J.* 531, at p. 538; Paulsson, J., *Denial of Justice in International Law* (Cambridge University Press, 2005), at pp. 54–5.

¹¹³ See note 81.

¹¹⁴ Hudson (note 63), at p. 68. See also Van Harten (note 1), at pp. 98–9 (referring to ‘prospective consent’ and ‘generalized arbitration’ versus mere ‘retrospective’ authority).

¹¹⁵ The Central American Court of Justice of 1907 is often mentioned as an example where prospective consent was given. Yet, there, a case between an individual and a state still had to be submitted ‘by common accord’. As a result, during the Court’s ten years of operation, only five cases were filed by individuals, four of which were held inadmissible, the fifth was disallowed, see Hudson (note 63), at p. 68. A better example of prospective consent to an international tribunal is the slave trade tribunals of the early nineteenth century, but there cases were filed *against* individuals (suspected slave traders), not against a state. See Martinez, J., *The Slave Trade and the Origins of International Human Rights Law* (Oxford University Press, 2012).

¹¹⁶ ICSID Art. 27 (with the exception of ‘informal diplomatic exchanges for the sole purpose of facilitating a settlement of the dispute’). For a similar approach even under UNCITRAL rules without ICSID Art. 27, see *République d’Italie v. République de Cuba*, Sentence Préliminaire, Arbitrage Ad’Hoc, 15 March 2005, at p. 38.

¹¹⁷ ICSID Art. 27:1.

traditional power advantage. The case of Argentina is instructive in this regard. Rather than having to face diplomatic enforcement by the United States or the European Union, Argentina has been able to pursue all of the claims against it following its 2001 financial crisis under the rules-based ICSID/IIIL system.¹¹⁸ Although more than ten years have now passed since the crisis, Argentina has been able to delay payment of awards or selectively settle disputes at discounted rates. It is only once a home state fails to comply with an ICSID award that diplomatic protection may be resumed. When exactly this moment arises remains in dispute. And so does the question of what constitutes diplomatic protection prohibited under Article 27 (as noted earlier, in 2012, the United States suspended Argentina's trade benefits under the GSP¹¹⁹). For claimants, this may amount to Argentina dragging its feet. For Argentina, this is just following ICSID proceedings. In 1850, Don Pacifico, a British subject, was able to collect his debt against Greece with the help of the British navy. Today, Sempra or Enron, both US companies, must go through the ICSID system and remain uncompensated, more than ten years after the Argentine 2001 crisis. The same can be said about Venezuela. In the nineteenth century its nationalization policies provoked a blockade of Venezuelan ports by European creditor nations. More recently, the late President Chavez's expropriations were dealt with through ICSID and UNCITRAL proceedings. In many cases, Venezuela was able to see the claims dismissed or substantially reduced, invoking sophisticated defences on both jurisdiction and the merits. In 1860, Mexico was invaded by French and other European troops seeking to collect unpaid debts. Today, no country is being attacked for unpaid debts, and countries like Venezuela or Ecuador can simply tell foreign investors to follow international arbitration procedures and stand in line for eventual collection.

The conventional narrative portrays IIL as an asymmetrical project where underdeveloped host states make increasingly demanding commitments to private investors so as to promote cross-border investment flows. The reality is far more complex. Host states—which these days include both developing and developed countries—did agree to basic limits to their *territorial* jurisdiction over foreign investors, e.g. fair and equitable treatment, no expropriation without compensation, international arbitration to settle claims. Yet, in exchange, traditionally more powerful home states—again, including, these days, both developed countries such as the United States and developing countries such as China—offered equally basic but crucially important limits to their *nationality* jurisdiction over the same investors, ending, for example, capitulations and forcible collection of private debts abroad, agreeing to national treatment, and limiting the role of unilateral home state legislation and courts as well as diplomatic protection. Limits on unilateralism by home states were exchanged for limits on unilateralism by host states. It is this very bargain between home and host states that gradually shifted protection of

¹¹⁸ See Echandi (note 95) ('it is in the best interest of developing countries to have a rule-oriented international investment regime').

¹¹⁹ See note 70.

foreign investment from the clan-type communal realm of power relations between states, toward an individualized arena of rules-based settlement.

In this light, for many host states, the choice was *not* between pristine national sovereignty and international arbitration, but between (i) unilateral enforcement and diplomatic protection by home states, or (ii) rules-based settlement. The puzzle is then not so much: why did capital-importing developing countries agree to BITs and international arbitration¹²⁰ (the alternative often being unilateralism)? Historically, it has, indeed, been weaker host states—rather than powerful home states—that called for obligatory arbitration of foreign pecuniary claims.¹²¹ The puzzle is also or even more so: why did historically more powerful home states (such as the United States) agree to end unilateral enforcement and tie their hands to rules-based settlement? From this perspective, the core achievement of IIL is not only enhancing substantive investor protection, but also putting rules-based limits on the retaliatory force of powerful home states.

4.3 Private standing as decentralization, not commitment

That foreign investors have standing to initiate investor-state disputes has been described as necessary for host states to make credible commitments.¹²² We saw in sections 3.6 and 3.7, however, that private standing at least for treaty breach was partly a historical accident and investor-state arbitration was only provided for in second generation BITs (as of the late 1960s). In addition, that states agreed to private standing follows a longer historical trend of states eager to dissociate themselves from disputes over treatment of aliens in order to allow for more stable international intercourse. It started with retrospective and issue-specific mixed claims commissions centuries ago, when private foreign investment did not yet exist. Private standing was granted not so much to more strictly commit host states, but to avoid irritating broader political relations.

Decentralization through private standing instead of clan-type or (later) diplomatic protection may have enhanced the protection of some investors: those whose claim the home state would otherwise not have espoused. It also weakened the protection of other investors: those who do not have the resources to file an ICSID complaint and would have preferred the collective/diplomatic protection offered by their home state, as well as deep pocketed investors who can afford ICSID arbitration but end up in drawn-out litigation and uncertain enforcement proceedings during which the often more effective route of diplomatic protection¹²³

¹²⁰ See Guzman (note 1).

¹²¹ See Hudson (note 63), at pp. 198–9 ('Obligatory arbitration of pecuniary claims has long been favored by some of the States which in the past suffered from forceful measures taken by more powerful States to induce the payment of pecuniary claims'). Indeed, writing in 1944, Hudson considered it 'difficult to envisage' that the US would assume 'an obligation to permit claims to be made against [it] by individual aliens in an international tribunal'.

¹²² See Sykes (note 8).

¹²³ A recent study of the 34 ICSID disputes filed against Venezuela between 2004 and 2012 concludes that "old fashioned" remedies such as those used in the past to settle disputes between sovereign states and [international oil companies] by using official channels (often developed by

remains closed off (pursuant to ICSID Article 27 discussed in note 116¹²⁴). For states and governments, the shift to private standing has reduced the cost (both financial and political) of diplomatic protection: home states are relieved of the tedious responsibility of claims processing; host states must shoulder the cost of defending an arbitration claim but avoid or limit unwelcome diplomatic, economic and perhaps military pressure from strong states whose nationals believe they have been injured. For many investors, in contrast, private standing has actually increased the cost of, or delayed effective, protection: compare *Don Pacifico* in 1850 and *Enron* or *Sempra* in the wake of the Argentine crisis.

4.4 Only aliens who own assets are protected

If investment protection were about human rights or protecting the property or human dignity of people,¹²⁵ it is puzzling to see that international investment law only protects aliens and, more specifically, aliens that own assets or an investment. The historical origins of the field, deeply embedded in inter-state tensions between territorial and personal sovereignty and rules of diplomatic protection, explain this selective protection. Its focus on aliens with assets has mainly political explanations: early European states seeking increased wealth through international commerce; Western nations exporting (and seeking to protect) private capital to keep newly independent states on their side during the Cold War. Although minimum standards for the treatment of foreign investors may have positive spill-over effects on aliens without property, nationals, and general good governance,¹²⁶ the clash of sovereignties that led to the symmetrical limits on governmental powers expressed in international investment law is limited to aliens and, in particular, their property or investments.

4.5 The puzzle of BITs amongst developed countries

If BITs were essentially a way for underdeveloped countries to signal their commitment to foreign investment and ICSID arbitration a palliative for dysfunctional host state courts, how do we explain that BITs (or investment chapters in FTAs) are concluded also between developed countries, with highly sophisticated legal regimes? If BITs are as much about constraining powerful home states as they are about limiting host state abuse, we can better understand why, for example,

embassies and high public officials) proved to be more efficient and faster than the “pressure” created on Venezuela by filing requests for arbitration and notice of dispute letters’ (Guerrero-Rocca, G., *Praising Calvo and Wearing Investors’ Robes: A Case Study of Venezuela and Its Strategy in Investment Arbitration in the Oil, Gas and Mining Sector*, Thesis, Stanford Law School, 2013, on file with the author).

¹²⁴ See note 116.

¹²⁵ See Lillich (note 52).

¹²⁶ See, e.g., Kingsbury, B., and S. Schill, ‘Investor-State Arbitration as Governance: Fair and Equitable Treatment, Proportionality and the Emerging Global Administrative Law’ in van den Berg, A. (ed.), *50 Years of the New York Convention*, ICAA Congress Series No. 14 (Kluwer, 2009).

Switzerland or Australia are interested in concluding a BIT or FTA with the United States, Japan, or China. More generally, if international investment law is about decentralizing and diffusing inter-state tensions that may arise from foreign investment disputes when channelled through diplomatic protection, the development level of the states involved matters little. The clash between territorial and personal sovereignty exists for an English investor in nineteenth century China as much as it exists for a US investor in twentieth century Mexico or twenty-first century Europe or Australia. Although host state abuse of aliens may be less likely in developed legal systems, discrimination or unfair treatment of foreigners is not a phenomenon that necessarily disappears when a country becomes developed.

4.6 Limited evidence showing that BITs actually increase foreign direct investment

The evidence linking BITs to actual increases in foreign investment flows is limited or, at least, contested.¹²⁷ If the only or main goal of international investment law were to increase FDI flows, this would be a serious puzzle, if not evidence of the system's failure. The historical account in section 3 shows, however, that promoting foreign investment flows is only one of several objectives. Other core objectives were the protection of investment stocks committed long before BITs were signed (e.g. during the days of colonization) and to limit power abuses by home states (e.g. ending capitulations and forcible collection of private debts abroad). The field's core achievement has been to shift protection of foreign investment (albeit partially) from the clan-type communal realm of power relations between states, toward a more individualized arena of rules-based settlement. Describing the purposes of early US BITs, a former US State Department official involved in the elaboration of the first US model BIT put it as follows:

Although the titles and preambles to most of the BITs refer to the 'encouragement' as well as the 'protection' of investments, the BIT Model was not designed with an intent to catalyze investment decisions. Rather, the practical functions of the BIT program were conceived in more static, protective terms, in relation to stocks of investment already in place. In fact, the framers of the Model BIT were unaware of any proven relationship between the existence of FCN treaties or European BITs and investment flows. Indeed, the developers of the Model BIT regarded the absence of evidence of a capital flow relationship as advantageous in rallying support for the BIT program, since evidence of a positive correlation between investment treaties and increased capital flow abroad could have spurred opposition by organized labor and regional economic interest groups within the United States.¹²⁸

Put differently, the early US BIT programme could proceed because BITs were *not* assumed to increase FDI. Most importantly, given the very basic nature of most

¹²⁷ See note 41.

¹²⁸ Gudgeon, K.S., 'United States Bilateral Investment Treaties: Comments on Their Origin, Purposes, and General Treatment Standards' (1986) 4 *Int'l Tax & Bus. L.* 105, at pp. 111–12.

BIT provisions (non-discrimination, fair and equitable treatment, no expropriation without compensation), provisions which were merely confirmed (not introduced) in first generation BITs to avoid backsliding of custom (rather than to enhance investor protection), without investor-state arbitration, it is hard to see how BITs could have significantly impacted FDI flows.¹²⁹ Only recently (as of the 1990s and early 2000s) has the BIT revolution been completed, with private standing for treaty breach and such things as shareholder rights to damages for injury caused to a company. So, if anything, we should expect an impact on FDI flows only as of the 2000s.¹³⁰ That said, even today, the vagueness of the rules, unpredictable, ad hoc nature of arbitration tribunals, litigation costs and difficulties of enforcing an award against a state or finding assets not benefiting from sovereign immunity, make it extremely difficult to credibly rely on BIT commitments. More than ten years after the Argentine crisis, Argentina has, for example, not paid a single award. A general commitment to fair and equitable treatment (enforced through ICSID arbitration) is unlike a trade commitment to a precise (say, 10 per cent) tariff ceiling on, for example, poultry imports (monitored by the WTO Appellate Body). In today's relatively stable context of most capital-importing countries (including many developing countries), commitment can often be signalled more credibly toward foreign investors in, for example, a specific investment contract, project-focused political risk insurance,¹³¹ or hand-tying under domestic laws or constitutions.¹³²

Moreover, other than the third generation US BIT/FTA model (which does cover access), most BITs remain limited to protection of admitted investments. Since this allows host states to keep out any new foreign investments, the likelihood of BITs increasing FDI flows (rather than protecting FDI stocks) remains limited. Finally, economic studies indicate that attracting FDI is country and sector specific and depends on the type of FDI (e.g. resource-seeking as opposed to market- or efficiency-seeking FDI).¹³³ BIT provisions, in contrast, have largely remained the same across countries, sectors and, most importantly, time. At best, BITs may help at the edges and only in rare situations will they make the difference between investing and not investing.

¹²⁹ This would be like expecting a major increase in trade flows from a commitment not to impose tariffs of over 100 per cent or a commitment to merely not raise import duties.

¹³⁰ See Allee, T., and C. Peinhardt, 'Contingent Credibility: The Impact of Investment Treaty Violations on Foreign Direct Investment' (2011) 65 *Int'l Org.* 401.

¹³¹ See Yackee, J., 'Do We Really Need BITs? Toward a Return to Contract in International Investment Law' (2008) 3 *Asian J. WTO & Int'l Health L. & Pol'y* 121, at pp. 128–36.

¹³² See the proposal discussed in South Africa to replace BITs with stronger protection under domestic (Department of Trade and Industry, Republic of South Africa, *Bilateral Investment Treaty Policy Framework Review: a Government Position Paper*, Pretoria, 2009) and Ensor, L., 'End of Bilateral Investment Treaties in Sight', BusinessDay BDLive, 21 February 2013, available at: <<http://www.bdlive.co.za/business/trade/2013/02/21/end-of-bilateral-investment-treaties-in-sight>>.

¹³³ See Colen, L., M. Maertens and J. Swinnen, 'Foreign Direct Investment as an Engine for Economic Growth and Human Development: A Review of the Arguments and Empirical Evidence' in De Schutter, O., J. Swinnen and J. Wouters, (eds.), *Foreign Direct Investment and Human Development* (Routledge, 2012).

5. Conclusion

International investment law emerged organically and incrementally in an often accidental process where—like the butterfly flapping its wings in Brazil and setting off a tornado in Texas¹³⁴—small tweaks (such as the *AAPL v Sri Lanka* award) can have major repercussions. Similarly, small reforms (e.g. replacing unilateral party-appointed arbitrators with arbitrators appointed by both parties, as in the WTO) may have a major impact. Understanding IIL as a multilayered, historical construct, where one historically-situated layer (treaty or institution) gets added to the next, also better explains today's confusion around the multiple goals ascribed to IIL, ranging from promotion of FDI and protection of individual rights to sustainable development and good governance. This, in turn, should influence how arbitrators approach their task of interpreting and applying investment treaties, in their historical and system-wide context and with due regard to the object and purpose of the treaty and broader IIL regime. IIL cannot be explained by a singular motive, agent or plan, be it BITs as credible commitment to attract sunk investments, BITs as photo opportunities tumbled into by uninformed developing countries, investor-state arbitration as depoliticization of state-to-state disputes, or IIL as a dark conspiracy puppeteered by rent-seeking arbitrators and law firms. There is no single creator, plan, or deliberate design. Rather, it is large and small steps, influences and interactions which together organically produce IIL. This also explains why recent empirical evidence that BITs only modestly (if at all) contribute to FDI has left most participants unfazed and not dramatically influenced the system.

If the story of IIL's incremental, partly accidental emergence and multifaceted decentralized composition is true, it should come as no surprise that parts of IIL are sub-optimal or not entirely adapted to current needs. For one thing, IIL has now been credited with so many attributes and goals—promotion of FDI, protection of individual rights, sustainable development of host states, depoliticization, good governance, palliative to underdeveloped domestic regimes and more—that it would be a miracle if the after all simple and relatively constant substantive rules of IIL consistently met all of these expectations. As Tinbergen—first winner of the Nobel prize in economics—demonstrated in 1952, to achieve policy objectives, governments must have policy instruments equal in number to the objectives. It is difficult, if not impossible, for a government to achieve two objectives with just one instrument.¹³⁵

Limited pay-off can be gained from thinking of IIL as a hybrid in search of an appropriate analogy (e.g. commercial arbitration or public international law). Like the highly sophisticated termite hill resulting from countless, simple interactions

¹³⁴ See Lorenz, E., 'Predictability: Does the Flap of a Butterfly's Wings in Brazil Set Off a Tornado in Texas?', presented before the American Association for the Advancement of Science, 29 December 1972.

¹³⁵ Tinbergen, J., *On the Theory of Economic Policy* (North-Holland Pub. Co., 1952).

between thousands of termites without a game plan,¹³⁶ IIL is only what collectively results from the decentralized interaction between a myriad of components (treaties, institutions, arbitrators, states, investors, litigators, NGOs, academics etc.). The system is the interaction. The appropriate unit of analysis is not the system but its components (think of Puig's social network of arbitrators heavily influencing the development of IIL case law¹³⁷ or Schill's network of BITs functioning 'analogously to a truly multilateral system'¹³⁸). At the same time, much like looking at just one part of the animal in a dark room makes it difficult to figure out that we face an elephant, to study IIL by looking at, for example, ICSID or US BITs in isolation, misses the point. It gives only a partial and often static picture of what is a complex adaptive system.

Finally, the decentralized composition of IIL and its self-organizing qualities demonstrate that high levels of centralization and global control are not indispensable for a regime to thrive. The contrary may be true, as more formalized centralization can make experimentation and adaptation more difficult. Reformers should therefore be careful before injecting major increases of centralization into the system, be it through a multilateral investment treaty, world investment court, or ICSID monopoly over arbitrator appointments.

¹³⁶ Miller, P. *The Smart Swarm* (Avery, 2010).

¹³⁷ See Puig (note 21).

¹³⁸ See Schill (note 20).

